

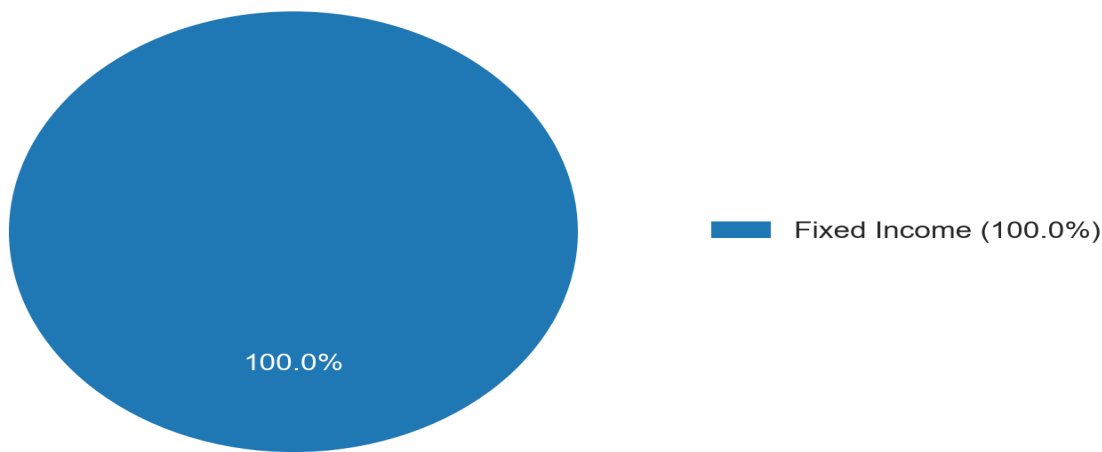
Portfolio rotation report

Date of extraction	2025-12-06 11:55
Data window	2023-01-02 → 2024-10-21
Frequency	Weekly — 95 observations. Sufficient depth: short- and long-term indicators are statistically reliable. Warning: the observation window exceeds the typical interpretability range for this frequency (+82.7% above the recommended upper bound). Results may blend multiple market regimes, reducing economic signal clarity.
Tickers	BND, IEF, SHY, TIP, TLT
Indicators	Short term: 8 weeks volatility, 12 weeks return, 16 weeks momentum Long term: 28 weeks volatility, 30 weeks return, 80 weeks momentum

1. Portfolio Composition

- TLT (iShares 20+ Year Treasury Bond ETF — Fixed Income)
 - IEF (iShares 7-10 Year Treasury Bond ETF — Fixed Income)
- SHY (iShares 1-3 Year Treasury Bond ETF — Fixed Income)
 - BND (Vanguard Total Bond Market ETF — Fixed Income)
 - TIP (iShares TIPS Bond ETF — Fixed Income)

Sector Allocation



Macro Profile Insight

- Macro coverage**
- Single-sector portfolio (Fixed Income): full dependence on sector-specific dynamics.
- Sectorial biases**
- Low-volatility bias: portfolio tilted toward defensive or stable assets.
- Structural properties**
- Large/mega-cap tilt: quality and stability prioritized over idiosyncratic risk.
 - Concentration risk: portfolio heavily exposed to etf instruments.
 - Liquidity stance: pockets of thin/illiquid names.
 - Defensive beta tilt: lower systematic risk profile.
- Additional comments**
- Significant sector gaps: broad portions of the economy remain uncovered.

2. Sector Performance Visualization



Top Positive Correlations

100.0% of portfolio

Pair	Correlation
BND / IEF	0.98
BND / TLT	0.94
IEF / TLT	0.93
BND / TIP	0.87
IEF / TIP	0.84

Overall, average cross-sector correlation was 0.82, ranging from 0.58 to 0.98. This suggests very high correlation — sectors behave almost as a single macro block. Correlation dispersion is narrow, suggesting similar risk dynamics across sectors. Strongest co-movement between BND and IEF (0.98); weakest between SHY and TLT (0.58). Market-driven regime: macro factors dominate individual sector dynamics.

3. Key Performance Indicators

Ticker	R (%)	V (%)	RAR	M (%)	Signal	Regime	Liquidity	Commentary
BND	-0.04	0.78	-0.054	0.16	neutral	subdued	thin	recovering momentum despite recent losses, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
IEF	-0.15	1.01	-0.146	0.14	neutral	subdued	thin	recovering momentum despite recent losses, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
SHY	0.06	0.44	0.143	0.15	neutral	subdued	illiquid	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
TIP	0.03	0.61	0.047	0.14	neutral	subdued	illiquid	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
TLT	-0.44	1.96	-0.223	0.07	neutral	subdued	liquid	recovering momentum despite recent losses, signal unclear or in transition, low volatility — calm market tone, with ample liquidity.

Top by Average Return

Ticker	AvgReturn(%)
SHY	0.06
TIP	0.03
BND	-0.04
IEF	-0.15
TLT	-0.44

Top by Volatility

Ticker	Volatility(%)
TLT	1.96
IEF	1.01
BND	0.78
TIP	0.61
SHY	0.44

Top by Momentum

Ticker	Momentum(%)
BND	0.16
SHY	0.15
IEF	0.14
TIP	0.14
TLT	0.07

3.b Rotation & Stress Metrics

Ticker	ΔReturn (pp)	Momentum Ratio	Signal	Volatility Ratio	Beta	ADV10 USD	Interpretation
BND	-0.14	1.60	0.062	1.05	0.03	7.14 M	stable performance, momentum strengthening, volatility normalizing, within defensive profile, under thin liquidity regime.
IEF	-0.25	1.40	0.058	1.05	-0.02	8.63 M	stable performance, momentum strengthening, volatility normalizing, within defensive profile, under thin liquidity regime.
SHY	-0.04	1.50	0.06	1.36	-0.01	3.98 M	stable performance, momentum strengthening, volatility expanding, within defensive profile, under thin liquidity regime.
TIP	-0.08	1.40	0.058	1.06	0.03	2.95 M	stable performance, momentum strengthening, volatility normalizing, within defensive profile, under thin liquidity regime.
TLT	-0.34	-0.70	-0.041	1.00	0.07	34.06 M	stable performance, momentum fading, volatility normalizing, within defensive profile, within normal liquidity conditions.

■ Light-impact observations

For **BND, IEF, SHY, TIP, TLT**: *Volatility compression* — subdued volatility; a breakout setup may be forming. (avg ann. return -0.1%, momentum 0.1%, vol 1.0%)